KIT 01 · PRELIMINARY TOPIC 1 · LESSON 1

The Economic Problem

Needs and wants · Scarcity · Opportunity cost

Today, in three parts

A

Needs, wants and the economic problem

Why even a rich country can't have everything

B

Resources — the four factors of production

What Australia actually has to work with

C

Opportunity cost

The real price of every choice you make

Why can't we have everything?

Australia is one of the richest countries on Earth. So why are there hospital waiting lists, a housing shortage, and arguments every May about what the Budget can afford?

Discuss with the person next to you — 90 seconds.

A

Needs, wants and the economic problem

Two definitions, one collision.

Needs vs wants

NEEDS

Goods and services essential for survival.

- Food and clean water
- Shelter — somewhere to live
- Basic healthcare (a Medicare GP visit)
- Basic clothing

WANTS

Desires that improve our lives — and never run out.

- Concert tickets, streaming, the new phone
- Eating out instead of cooking
- A bigger house in a better suburb
- **Satisfy one want — another appears**

The economic problem

UNLIMITED wants

everyone, always, everywhere

×

LIMITED resources

land, workers, machines, ideas

SCARCITY

so every person, business and government must CHOOSE

Scarcity is everywhere in Australia

Water

The Murray–Darling Basin grows ~40% of our food — but towns, farmers and the river itself all want more water than exists. Governments buy water back; farmers push back.

Housing

Rental vacancy rates in our capital cities have sat near record lows — around 1–2%. More people want homes in the same suburbs than there are homes to rent.

Skilled workers

Australia doesn't have enough electricians, nurses and construction workers for everything we're trying to build at once — that's why they're on the skilled migration list.

B

Resources — the four factors of production

What exactly is limited? Economists sort every resource into four boxes.

The four factors of production

LAND

Earns RENT

All natural resources

Iron ore in the Pilbara · farmland · sunshine on a solar farm · fish stocks

LABOUR

Earns WAGES

Human effort, physical and mental

A barista's shift · a nurse's care · a coder at Canva

CAPITAL

Earns INTEREST

Goods used to make other goods

Mining trucks · a cafe's espresso machine · the NBN

ENTERPRISE

Earns PROFIT

Organising the other three + taking the risk

The founders of Canva or Atlassian · your local cafe owner

Quick check — which factor?

1. A combine harvester on a Riverina wheat farm
2. The wheat farmer's daughter driving it on weekends
3. The paddock itself
4. The farmer's decision to plant canola instead this year
5. A $40,000 bank loan — careful with this one

Answers: capital · labour · land · enterprise · none — money is not a factor of production (it buys them) c

Opportunity cost

Scarcity forces choices. Every choice has a price — and it isn't measured in dollars.

The real cost of any choice

Opportunity cost is the value of the **next best alternative forgone** when a choice is made.

- Not every alternative you gave up — only the single best one.
- It applies to everything scarce: money, but also time, attention, land, a Saturday.
- Individuals face it, businesses face it, and so does the federal government every Budget night.

Worked example — your Saturday

It's the Saturday before your Economics exam. You can do exactly one of these:

Option	What you get	Your ranking
Work your cafe shift	$130 in wages	2nd
Study for the exam	Better mark, less stress	**1st → you choose this**
Beach with friends	A great day out	3rd

Opportunity cost of studying = the cafe shift ($130) — the next best alternative.

The beach doesn't count: it was ranked third. And notice the cost of a 'free' study day was real: $130.

The same logic, $700 billion bigger

Every May, the federal Budget makes the same kind of choice you just made — with the nation's resources.

Spend $10 billion on...

- New submarines, or
- Cheaper childcare, or
- More Medicare-bulk-billed GP visits, or
- Paying down government debt

The economist's question

Not 'can we afford it?' — Australia can borrow. The question is: what is the next best use of these resources, and is this choice worth giving that up?

Extension: the builders and engineers on a submarine can't simultaneously build hospitals — the deepest opportunity cost is the real resources, not the dollars.

Lock it in

The economic problem unlimited wants vs limited resources

Scarcity permanent, universal — not the same as poverty or shortage

Four factors land, labour, capital, enterprise (capital ≠ money)

Opportunity cost the next best alternative forgone — the one sentence to memorise

Now: worksheet questions 1–6, then the online exit quiz — **econkits.org/students**